

ETHIOPIAN ELECTRIC UTILITY

Internal Audit Department

Audit Report for ERP System Security and Financial Controls Audit

Engagement:	ERP System Security and Financial Controls Audit
Eng. Number:	ENG-2026-001
Type:	IT Audit
Department:	Information Technology
Lead Auditor:	Tsion Girma
Supervisor:	Bekele Dejene
Risk Level:	high

Date: 24 July 2026
Generated By: Kidus Yosef

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1. BACKGROUND

This report presents the findings and recommendations from the audit engagement **ERP System Security and Financial Controls Audit** conducted by the EEU Internal Audit Department. The audit was performed in accordance with the International Standards for the Professional Practice of Internal Auditing (IPPF) and the EEU Internal Audit Charter.

Engagement Title	ERP System Security and Financial Controls Audit
Engagement Type	IT Audit
Audited Department	Information Technology
Status	In Progress
Lead Auditor	Tsion Girma
Supervisor	Bekele Dejene
Planned Start	2026-04-01
Planned End	2026-07-30

Audit Objectives:

Audit Scope:

2. EXECUTIVE SUMMARY

A total of **1** finding(s) were identified during this audit engagement. Of these, **0** are classified as Critical, **1** as High, **0** as Medium, and **0** as Low severity. The audit was conducted to evaluate the adequacy and effectiveness of internal controls within the audited area.

Severity Level	Count
HIGH	1

3. RISK ANALYSIS

The following risk assessment data relates to the department **Information Technology**. The risk analysis considers inherent risk, control effectiveness, and residual risk levels.

Period	Year	Likelihood	Impact	Risk Score	Rating	Control Eff.	Residual Risk
Annual	2026	5	5	25.00	CRITICAL	5	5.00
Annual	2026	5	5	25.00	CRITICAL	5	5.00
Annual	2026	2	5	10.00	HIGH	3	6.00

4. FINDINGS SUMMARY TABLE

The following table provides a comprehensive summary of all **1** finding(s) identified during this audit engagement.

#	Ref No.	Title	Severity	Category	Status	Recommendation
1	FIND-001	Unauthorized Segregation of Duties Violations in ERP Accounts Payable	HIGH	Control Deficiency	DRAFT	N/A

Detailed Finding Descriptions:

FIND-001: Unauthorized Segregation of Duties Violations in ERP Accounts Payable [Severity: HIGH]
[Status: DRAFT]

Condition: Accounts department personnel and DBAs share administrative roles that override transaction blocks.

Criteria: EEU IT Security Policy Article 4.2 states that developers and DBAs must not hold administrative business transactions access.

Cause: Absence of a quarterly system role review and lack of dynamic workflow blocks at the application tier.

Effect/Impact: Increased risk of fraudulent payments being injected directly into the database without manager check-offs.

Recommendation: N/A

Management Response: N/A

5. CORRECTIVE ACTION PLAN (CAPA)

The following **1** corrective action(s) have been defined to address the findings identified during this audit engagement.

#	Action No.	Title	Finding Ref	Priority	Status	Owner	Due Date
1	CAPA-001	Segregate Admin and Transactional Privileges	FIND-001	MEDIUM	RESOLVED	Kidus Yosef	2026-09-30

Detailed Corrective Action Descriptions:

CAPA-001: Segregate Admin and Transactional Privileges [Priority: MEDIUM - Status: RESOLVED]

Finding: FIND-001 - Unauthorized Segregation of Duties Violations in ERP Accounts Payable

Description: Ensure DBA accounts are restricted to schema management and database maintenance. Remove transactional posting roles from admins.

Recommendation: Perform an absolute segregation of system admin privileges; remove transactional payment authorization from DBAs immediately.

Owner: Kidus Yosef

Due Date: 2026-09-30

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